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Case Number: 24STCV10370 Hearing Date: September 15, 2026 Dept: 408

Defendants James C. Chou,

CJ Max Investments LLC, and Helios Enterprises, LLC's Motion for Summary

Judgment is GRANTED.

I.

BACKGROUND

On April

25, 2024, Plaintiff Steven Li ("Plaintiff") filed a complaint against

Defendants James C. Chou ("Chou"), CJ Max Investments LLC ("CJ Max"), and

Helios Enterprises, LLC ("Helios", collectively "Defendants") alleging causes

of action for:

1. Breach of Written Contract;
2. Declaratory Relief
3. Unjust Enrichment;
4. Accounting;
5. Open Book Account;
6. Account Stated;
7. For Money Advanced;
8. Negligence; and

9. Breach of Fiduciary Duty.

On

August 26, 2024, the court overruled Defendants' Demurrer to Plaintiff's complaint in part as to the first, second, and ninth causes of action, sustained in part with leave to amend as to the third through fifth and eighth causes of action, and sustained in part without leave to amend as to the sixth and seventh causes of action.

On

September 13, 2024, Plaintiff filed a First Amended Complaint ("FAC") alleging causes of action for:

1. Breach of Written Contract;

2. Declaratory Relief

3. Unjust Enrichment;

4. Accounting;

5. Open Book Account;

6. Negligence; and

7. Breach of Fiduciary Duty.

On

December 11, 2024, the court overruled Defendants' Demurrer to Plaintiff's FAC in part as to the fourth cause of action and sustained in part without leave to amend as to the third and eighth causes of action. Pursuant to Plaintiff's representation, Plaintiff was ordered to dismiss the fifth cause of action.

On

December 18, 2024, pursuant to Plaintiff's request, the fifth cause of action for open book account was dismissed with prejudice.

On

December 20, 2024, Defendants filed an answer to Plaintiff's FAC.

On

June 15, 2026, Defendants filed this Motion for Summary Judgment, or in the alternative, Summary Adjudication. On August 13, 2026, Plaintiff filed an opposition. On September 4, 2026, Defendants filed a reply.

II.

LEGAL

STANDARD

“A

party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding. The motion may be made at any time after 60 days have elapsed since the general appearance in the action or proceeding of each party against whom the motion is directed or at any earlier time after the general appearance that the court, with or without notice and upon good cause shown, may direct.” (Code Civ. Proc., § 437c, subd. (1)(a).)

“[T]he

party moving for summary judgment bears the burden of persuasion that there is no triable issue of fact and that he is entitled to judgment as a matter of law. That is because of the general principle that a party who seeks a court's action in his favor bears the burden of persuasion thereon. There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (Aguilar v. Atl. Richfield Co. (2001) 25 Cal.4th 826, 850 [citation omitted].)

“[T]he

party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact.” (Aguilar, supra, at 850; Smith v. Wells Fargo Bank, N.A. (2005) 135 Cal.App.4th 1463, 1474, [applying the summary judgment standards in Aguilar to motions for summary adjudication].)

“On

a summary judgment motion, the court must therefore consider what inferences favoring the opposing party a factfinder could reasonably draw from the evidence. While viewing the evidence in this manner, the court must bear in mind that its primary function is to identify issues rather than to determine issues. Only when the inferences are indisputable may the court decide the issues as a matter of law. If the evidence is in conflict, the factual issues must be resolved by trial.” (Binder v. Aetna Life Ins. Co. (1999) 75 Cal.App.4th 832, 839 [citation omitted].)

“The

trial court may not weigh the evidence in the manner of a fact finder to determine whose version is more likely true. Nor may the trial court grant summary judgment based on the court's evaluation of credibility. (Binder, supra, at 840, citations omitted; see also Weiss v. People ex rel. Dep't of Transp. (2020) 9 Cal.5th 840, 864 [“Courts deciding motions for summary judgment or summary adjudication may not weigh the evidence but must instead view it in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party”].)

III.

DISCUSSION

Defendants

seek summary judgment on the remaining four causes of action alleged in Plaintiff's FAC. In the alternative, Defendants move for summary adjudication of the following issues:

[Issue No. 1] Finding that the "Investment Return Agreement," as well as the related "Amendment to the Investment Return Contract" (collectively, "Subject Agreement"), attached to the FAC is illegal as a matter of law;

[Issue No. 2] Finding that the Subject Agreement is void and unenforceable on the grounds of illegality;

[Issue No. 3] Finding that Defendants have an affirmative defense of illegality against the first cause of action for breach of written contract;

[Issue No. 4] Finding that Plaintiff is barred from recovery

against Defendants for the first cause of action for breach of written contract on the grounds of illegality;

[Issue No. 5] Finding that Defendants have an affirmative defense of statute of limitations against the first cause of action for breach of written contract;

[Issue No. 6] Finding that Plaintiff is barred from recovery against Defendants for the first cause of action for breach of written contract on the grounds of statute of limitations;

[Issue No. 7] As to the first cause of action for breach of written contract, finding that (1) there is not a lawful, valid and enforceable Subject Agreement governing the \$6,000,000.00 in funds; (2) Defendants are excused from performance of the Subject Agreement on the grounds of illegality; (3) Defendants are excused from performance of the Subject Agreement due to the 2023 Order and the subsequent turnover of \$6,528,719.00 as set forth in the motion; (4) Plaintiffs concealment of his true identity under his real name of Jianjun Qiao and fugitive status is a complete affirmative defense against the first cause of action for breach of written contract; and (5) Plaintiff is barred from any recovery against Defendants;

[Issue No. 8] As to the second cause of action for declaratory relief, finding that no actual controversy exists on the grounds of illegality of the Subject Agreement;

[Issue No. 9] Finding that Defendants have an affirmative defense of statute of limitations against the fourth cause of action for accounting;

[Issue No.
10] Finding that Plaintiff is barred from relief sought against Defendants for the fourth cause of action for accounting on the grounds of statute of limitations;

[Issue No.
11] As to the fourth cause of action for accounting, finding that (1) the amount owed to Plaintiff in connection with the Subject Agreement was determined pursuant to the 2023 Stipulation and 2023 Order as set forth in the motion; and (2) the amount of \$6,528,719.00 turned over by Defendants is deemed certain with respect to the Subject Agreement;

[Issue No.

12] Finding that Defendants have an affirmative defense of illegality against the ninth cause of action for breach of fiduciary duty;

[Issue No.

13] Finding that Plaintiff is barred from recovery against Defendants for the ninth cause of action for breach of fiduciary duty on the grounds of illegality;

[Issue No.

14] Finding that Defendants have an affirmative defense of statute of limitations against the ninth cause of action for breach of fiduciary duty;

[Issue No.

15] Finding that Plaintiff is barred from relief sought against Defendants for the ninth cause of action for breach of fiduciary duty on the grounds of statute of limitations; and

[Issue No.

16] As to the ninth cause of action for breach of fiduciary duty, finding that (1) the Subject Agreement governing \$6,000,000.00 in funds is illegal, void and unenforceable; (2) Defendants did not owe any duty to Plaintiff arising under said illegal Subject Agreement; (3) Defendants are excused from performance of the Subject Agreement; (4) Plaintiff's criminal case is a complete affirmative defense against this claim for breach of fiduciary duty; and (5) Plaintiff is barred from any recovery, including attorney's fees and costs, against Defendants.

A.

Evidentiary Objections

The court declines to rule on the evidentiary objections submitted, pursuant to Code of Civil Procedure section 437c(q), i.e., "[i]n granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion". (Code Civ. Proc., § 437c, subd. (q).)

B.

Request for Judicial Notice

Defendants' Request for Judicial Notice is granted. Judicial notice may be taken of "[f]acts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." (Evid. Code, § 452, subd. (h).) "A court may properly take judicial notice of its own records. (Evid. Code, § 452, subd. (e).)" (Garcia v. Sterling (1985) 176 Cal.App.3d 17, 21.) This court may also take judicial notice of the records of any court of record of the United States. (Evid. Code, § 452, subd. (d).)

C. Affirmative Defense: Illegality

The

general rule, with exceptions, is that courts will not lend their assistance to enforcement of contracts that are illegal or against public policy. (Schaffter v. Creative Capital Leasing Group, LLC (2008) 166 Cal.App.4th 745, 755.) "No principle of law is better settled than that a party to an illegal contract cannot come into a court of law and ask to have his illegal objects carried out.' [Citation.] The courts 'generally will not enforce an illegal bargain or lend their assistance to a party who seeks compensation for an illegal act.' [Citations.]" (Yoo v. Jho (2007) 147 Cal.App.4th 1249, 1255.)

"California

statutes require that a contract have 'a lawful object.' (Civ. Code, § 1550, subd. (3); see Civ. Code, § 1596.) Otherwise the contract is void. (Civ. Code, § 1598.) Civil Code section 1668 provides that a contract that has as its object a violation of law is 'against the policy of the law.' Civil Code section 1667 states that 'unlawful' is '1. Contrary to an express provision of law; [¶] 2. Contrary to the policy of express law, though not expressly prohibited; or, [¶] 3. Otherwise contrary to good morals.' [Citations.] California courts have stated that an illegal contract 'may not serve as the foundation of any action, either in law or in equity' [Citation], and that when the illegality of the contract renders the bargain unenforceable, "[t]he court will leave them [the parties] where they were when the action was begun" [Citations.]" (Kashani v. Tsann Kuen China Enterprise Co. (2004) 118 Cal.App.4th 531, 541.)

Civil Code section 1608 states that "[i]f any part of a single consideration for one or more objects, or of several considerations for a single object, is unlawful, the entire contract is void." (Civ. Code, § 1608.) Civil Code section 1668 further provides that "[a]ll contracts which have for their object, directly or indirectly, to exempt any one from responsibility for his own fraud, or willful injury to the person or property of another, or violation of law, whether willful or negligent, are against the policy of the law." (Civ. Code, § 1668.)

Defendants

argue that there is a complete affirmative defense of illegality against Plaintiff's breach of contract claim, and subsequent derivative cause of action for declaratory relief, accounting, and breach of fiduciary duty. (MSJ, at pp. 14-16, 17-19.) In support, Defendants provide that the instant action arose from an alleged breach by Defendants of the "Investment Return Agreement" and the "Amendment to Investment Return Contract" (collectively, "Subject Agreement") entered between the parties as attached in Plaintiff's FAC. (Undisputed Material Fact ("UMF"), No. 2.) Plaintiff sought damages for the minimum amount of \$12,000,000.00 arising from the claims alleged. (Id., No. 3.)

Defendants

further provide that Plaintiff's legal name in China is Jianjun Qiao, which he used as an alias in this action. (Id., No. 5.) In January 2012, Plaintiff used the names of Steven Li and Feng Li to enter into the Subject Agreement. (Id., No. 6.) Defendants subsequently discovered Plaintiff's real identity, when Chou was approached and interviewed by the U.S. prosecution with respect to \$6,000,000.00 in stolen Chinese public funds, which Plaintiff attempted to conceal as an "investment" and launder via the Subject Agreement. (Id., No. 7.) In July 2014, as part of the joint efforts between the U.S. and Chinese governments to track down and prosecute corrupt Chinese fugitives in America, the U.S. Department of Justice ("DOJ") charged Plaintiff in absentia in a federal grand jury indictment for money laundering, international transport of stolen funds, immigration fraud, and other related offenses under the case entitled United States of America v. Jianjun Qiao, aka "Feng Li," and Shilan Zhao, Case No. 2:14-cr-00384-SVW, ("Criminal Action"), filed with the United States District Court, Central District. (Id., No. 9.) On March 18, 2016, pursuant to the First Superseding Indictment ("FSI") against Plaintiff, the U.S. Attorney's Office filed the "Government's First Bill

of Particulars re Forfeiture Allegations" against the assets that the U.S. government initially found to be allegedly connected to Plaintiff. (Id., No. 10.)

In

2018, Plaintiff was arrested in Sweden, and China asked Sweden to extradite him. (Id., No. 11.) The Swedish Supreme Court preliminarily denied Beijing's extradition request and released Plaintiff the next day. (Ibid.) Plaintiff was soon arrested again by the Swedish authority and held in a detention center in Solna, Sweden days later at the request of the U.S. government, which sought to prosecute Plaintiff in a U.S. court following the DOJ's filing of the FSI on December 14, 2018. (Ibid.) In June 2020, Plaintiff was extradited from Sweden to Los Angeles to face charges for Conspiracy to Commit Immigration Fraud and Interstate and International Transporting of Stolen Money (18 U.S.C. §371); Conspiracy to Commit Money Laundering (18 U.S.C. §1956(h)); Financial Transactions in Criminally Derived Property (18 U.S.C. §1957); Criminal Forfeiture (18 U.S.C. §§ 981 (a) (1) (C) and 982 (a) (2) (A), 28 U.S.C. § 2461(c)), among other related offenses as stated in the FSI. (Id., No. 12.)

In

December 2021, Plaintiff entered a guilty plea to Count One for "Conspiracy to Commit Immigration Fraud and Interstate and International Transport of Stolen Money" of the FSI and was sentenced to "time served, which includes 24 months in custody in Sweden while awaiting extradition and 17 months in custody in the United States" pursuant to the "Joint Sentencing Position for Defendant Jianjun Qiao" entered on December 17, 2021. (Id., No. 13.) On July 11, 2022, Plaintiff entered into a formal plea agreement, which has been sealed as indicated in the case docket. (Id., No. 13.)

Pursuant

to the plea deal, Plaintiff agreed to forfeit the assets identified by the DOJ, pursuant to the FSI, and entered into a "Stipulation for Order Authorizing Sale of Real Property" on December 16, 2021. (Id., No. 15.) The stipulation was subsequently modified by a "Stipulation Regarding Substitute Assets for Forfeiture and Transfer of Funds" entered by the U.S. government, Plaintiff, and Chou and CJ Max, as the nonparties to Plaintiff's criminal case, on October 4, 2023 ("2023 Stipulation"). (Ibid.) On October 11, 2023, pursuant to the 2023 Stipulation, the District Court

entered an Order ("2023 Order") with respect to the criminal forfeiture of the FSI. (Id., No. 16.) On October 18, 2023, Chou wire transferred a total amount of \$6,528,719.00 to the "Kaplan Marino Client Trust Account" held by Plaintiff's criminal defense attorney, Nina Marino, Esq. of Kaplan Marino, pursuant to the 2023 Stipulation and the 2023 Order. (Id., No. 17.)

The court finds that Defendants carried their initial burden demonstrating that the Subject Agreement is illegal and thus void based on the ill-gotten gains used as consideration and the evidence provided regarding the Criminal Action against Plaintiff encompassing such funds.

In opposition, Plaintiff fails to raise a triable issue of fact regarding the legality of the Subject Agreement. In fact, in an attempt to dispute Defendants' uncontroverted evidence, Plaintiff merely provides a self-serving declaration. The court finds that such declaration is insufficient, on its own, to raise a triable issue of fact regarding the enforceability of a void contract. (King v. United Parcel Service, Inc. (2007) 152 Cal.App.4th 462, 433 [determining that self-serving declarations are insufficient in creating a genuine issue of fact].)

The court further finds that as the Subject Agreement is void, the breach of contract claim and derivative claims for declaratory relief, accounting, and breach of fiduciary duty arising out of the Subject Agreement fail as a matter of law.

Accordingly, summary judgment is granted.

IV. CONCLUSION

Defendants
James C. Chou, CJ Max Investments LLC, and Helios Enterprises, LLC's Motion for Summary Judgment is GRANTED.